FARMERS INSURANCE

Toll Free: (800) 435-7764
Fax: (877) 217-1389
Email: myclaim@farmersinsurance.com
Please include your claim # on any correspondence
National Document Center
P.O. Box 268994
Oklahoma City, OK 73126-8994

February 18, 2022

YIBIAO LU
17756 GEORGE MORAN DR
EDEN PRAIRIE MN 55347-1061

| | | |
|---|---|---|
| RE: | Insured: | Yibiao Lu |
| | Claim Number: | 3013539499-1 |
| | Policy Number: | 0980554965 |
| | Loss Date: | 09/05/2020 |
| | Location of Loss: | 17756 George Moran Dr, Eden Prairie, MN |
| | Subject: | Settlement Notice |

Dear Yibiao Lu:

Thank you for choosing us to provide for your insurance needs. We value you as a customer and appreciate the opportunity to be of service.

We received your request to recover the depreciation for your property loss and reviewed the documents you submitted. Your policy allows you to collect the lower of the agreed-upon estimate, or the reasonable amount you spent to complete repairs or replacement, less any applicable deductible.

A payment for your recoverable depreciation in the amount of $4,315.14 will be issued through the method you selected to receive your funds. I've attached a copy of the estimate on which these payments are based.

If you intend to recover withheld depreciation, you must submit a copy of your invoices or receipts within 365 days from the date of the first ACV payment, or by February 15, 2022 . While some policies may provide less than 365 days to submit a copy of your invoices or receipts, we are extending this time period to 365 days from the date of the first ACV payment.

Any deductible amount will be applied according to policy provisions.

We reserve all rights and defenses under the policy and law and no activity on our part should be construed as a waiver. Even though only parts of the policy may be mentioned or quoted in this letter, additional portions if found to be relevant will be applied.

Please note there are time limits set forth in the Conditions ("Suit Against Us" or "Legal Action Against Us") section of the policy which, depending on your state, may affect the time within which you may pursue your claim. This period may have been extended by statute or case law.

If you have any questions, please contact me at 913-227-2311.

Thank you.

Robbie Bledsoe
Office Claims Representative
(913) 227-2311
Fire Insurance Exchange

At this time, I can be reached by telephone and e-mail; my phone number and email address have not changed. Email communications are preferred to avoid any potential delays caused by mailing. If you are unable to use email and hard copies of communications are required, they may be sent to our National Document Center at P.O. Box 268994, Oklahoma City, OK 73126-8994. We are unable to receive deliveries at any office location from FedEx, UPS or any other courier at this time.

Enclosure(s):
Estimate/Invoice - (2)

# BUILDING LOSS WORKSHEET

This is a complete recap of your claim. Your deductible has not been taken twice.

| Description of Work Completed | Non Recoverable Depreciation | Replacement Cost |
|---|---|---|
| Roof and Gutter Work Complete per Farmers (Lines 5-21, 23-24, 28-29,32) | | $ 115,936.50 |
| Overhead Door Work (Line 28) | | $ 5,280.00 |

| Description of Work Not Completed* | Non Recoverable Depreciation | Recoverable | Replacement Cost |
|---|---|---|---|
| Window Work (Lines 1-4) | $ | 1,740.44 | $ 2,922.08 |
| Exterior Door Work (Lines 24-25) | $ | 85.90 | $ 515.50 |
| Remaining Labor Minimums (Lines 29,30,32) | $ | - | $ 389.95 |

| | |
|---|---|
| Subtotal | $ 125,044.03 |
| Prior Payments | $ 105,882.55 |
| Non Recoverable Depreciation | $ - |
| Recoverable Depreciation | $ 1,826.34 |
| Deductible | $ 13,020.00 |
| Total Settlement | $ 4,315.14 |

*This section is a recap from your estimate and represents work, which has not been completed.
Please advise us of any contractor discrepancies prior to having the following repairs completed.
Replacement Cost for all items on this worksheet include any tax, labor minimums, and overhead & profit whenever applicable.
Depreciation is based on age, condition/usage, and useful life.

## Fire Insurance Exchange

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| | | | |
|---|---|---|---|
| Insured: | YIBIAO LU | Cell: | (763) 843-2859 |
| Property: | 17756 GEORGE MORAN DR<br>EDEN PRAIRIE, MN 55347-1061 | | |
| Home: | 17756 GEORGE MORAN DR<br>EDEN PRAIRIE, MN 55347-1061 | | |

| | | | |
|---|---|---|---|
| Claim Rep.: | Allen Banning | Business: | (405) 802-5860 |
| Position: | Claims Representative | E-mail: | myclaim@farmersinsurance.com |
| Business: | PO Box 268994<br>Oklahoma City, OK 73126-8994 | | |

Claimant: YIBIAO LU

| | | | |
|---|---|---|---|
| Estimator: | Allen Banning | Business: | (405) 802-5860 |
| Position: | Claims Representative | E-mail: | myclaim@farmersinsurance.com |
| Business: | PO Box 268994<br>Oklahoma City, OK 73126-8994 | | |

**Claim Number:** 3013539499-1-1 **Policy Number:** 0980554965 **Type of Loss:** Hail

| | | | |
|---|---|---|---|
| Date Contacted: | 9/24/2020 5:00 PM | | |
| Date of Loss: | 9/5/2020 12:00 AM | Date Received: | 9/23/2020 5:48 PM |
| Date Inspected: | | Date Entered: | 9/25/2020 2:02 PM |
| Date Est. Completed: | 11/9/2020 2:34 PM | | |

| | |
|---|---|
| Price List: | MNMN8X_SEP21<br>Restoration/Service/Remodel |
| Estimate: | YIBIAO_LU2 |

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We appreciate the opportunity to serve your insurance needs and want to make sure you have a clear understanding of how your claim will be processed.

Please see the attached estimate of repairs for your damaged property, also called the Replacement Cost Value of your loss. When depreciation is applied to the estimated repair costs, the Replacement Cost Value less depreciation is the Actual Cash Value of your loss. Depreciation is based on the average quality, age, condition, and useful life of the damaged property, unless otherwise noted. Actual cash value for roof materials is determined using either the scheduled roof table if in the policy or the age, condition and useful life of your roof materials. The applicable policy deductible(s) will be deducted from these amounts unless it is applied to another line of coverage.

Please note this estimate reflects the extent of known covered damages to the property referenced above. No supplemental or additional payments will be issued for repairs that have not been included in this estimate, without prior approval. This approval must be obtained prior to replacement or repair. We must have the opportunity to view and inspect any proposed changes or additional work.

Should you receive an estimate of repairs that exceeds this estimate, or if you wish to send us any other information related to your claim, please include "Attention Claim # 3013539499-1-1" and forward this information to us by:

1. E-mailing to myclaim@farmersinsurance com
2. Faxing to 877-217-1389
3. Mailing to National Document Center, P.O. Box 268994, Oklahoma City, Ok 73126-8994

When your policy provides for Building Ordinance or Law coverage, any known covered costs resulting from ordinance or law upgrades are itemized in this estimate or contained in a separate estimate we will provide to you. However, these costs are not included as part of the Actual Cash Value of this estimate unless we are paying the full Replacement Cost Value under this estimate at this time. Otherwise, ordinance or law costs will be paid under your policy when incurred by you, subject to your deductible.

Although as a service we may refer contractors or repairmen to you, it is your decision to hire the contractor of your choice. We neither direct or manage the activities nor guarantee the work of any contractor, whether referred or not. It is up to you to make sure the work is completed to your satisfaction.
We encourage you to visit www.farmers.com to learn more about our self-service option available to you; including the ability to view your claim status, upload documents and photos and find local service providers.

Allen Banning
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(405) 802-5860

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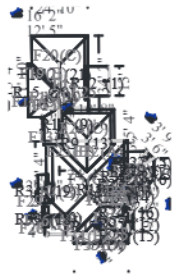
**YIBIAO_LU2**

**Source - Eagle View**

**Source - Eagle View**

**Source - Eagle View**

| | QUANTITY | UNIT | TAX | O&P | RCV | AGE/LIFE | COND. | DEP % | DEPREC. | ACV |
|---|---|---|---|---|---|---|---|---|---|---|
| 1. | R&R Wood window - casement, 12-23 sf | | | | | | | | | |
| | 2.00 | EA | 702.31 | 78.30 | 296.60 | 1,779.52 | 0/30 yrs | Avg. | 75% [%M] | (1,334.66) | 444.86 |
| 2. | Window blind - horizontal or vertical - Detach & reset | | | | | | | | | |
| | 2.00 | EA | 42.37 | 0.00 | 16.94 | 101.68 | 0/NA | Avg. | 75% [%M] | (76.26) | 25.42 |
| 3. | Additional charge for a retrofit window, 24-40 sf | | | | | | | | | |
| | 2.00 | EA | 180.78 | 4.55 | 73.24 | 439.35 | 0/18 yrs | Avg. | 75% [%M] | (329.52) | 109.83 |
| 4. | Scaffolding Setup & Take down - per hour | | | | | | | | | |
| | 11.00 | HR | 45.57 | 0.00 | 100.26 | 601.53 | 27/NA | Avg. | 0% | (0.00) | 601.53 |
| 5. | R&R Fireplace - chimney chase cover - stainless steel | | | | | | | | | |
| | 1.00 | EA | 624.96 | 25.55 | 130.10 | 780.61 | 27/150 yrs | Avg. | 18% | (140.51) | 640.10 |
| 6. | R&R Flue cap - oversized | | | | | | | | | |
| | 1.00 | EA | 263.64 | 15.20 | 55.76 | 334.60 | 27/18 yrs | Avg. | 75% [M] | (250.96) | 83.64 |
| 7. | R&R Flue cap | | | | | | | | | |
| | 1.00 | EA | 139.48 | 6.52 | 29.20 | 175.20 | 27/18 yrs | Avg. | 75% [M] | (131.40) | 43.80 |
| **Total: Source - Eagle View** | | | **130.12** | **702.10** | **4,212.49** | | | | | **2,263.31** | **1,949.18** |



**R1**

| | | | |
|---|---|---|---|
| 4322.71 | Surface Area | 43.23 | Number of Squares |
| 476.11 | Total Perimeter Length | 60.71 | Total Ridge Length |
| 338.10 | Total Hip Length | | |

| | QUANTITY | UNIT | TAX | O&P | RCV | AGE/LIFE | COND. | DEP % | DEPREC. | ACV |
|---|---|---|---|---|---|---|---|---|---|---|
| 8. | Dumpster load - Approx. 30 yards, 5-7 tons of debris | | | | | | | | | |
| | 1.00 | EA | 540.00 | 0.00 | 108.00 | 648.00 | 27/NA | Avg. | 0% | (0.00) | 648.00 |
| 9. | Tear off wood shakes/shingles (no haul off) | | | | | | | | | |
| | 43.23 | SQ | 59.29 | 0.00 | 512.62 | 3,075.73 | 27/40 yrs | Avg. | 67.5% | (2,076.12) | 999.61 |
| 10. | R&R Chimney flashing - average (32" x 36") | | | | | | | | | |
| | 1.00 | EA | 560.62 | 6.05 | 113.34 | 680.01 | 27/35 yrs | Avg. | 75% [M] | (510.01) | 170.00 |
| 11. | Ice & water barrier | | | | | | | | | |
| | 2,739.00 | SF | 2.03 | 76.26 | 1,127.30 | 6,763.73 | 27/30 yrs | Avg. | 75% [M] | (5,072.81) | 1,690.92 |

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## CONTINUED - R1

| | QUANTITY | UNIT | TAX | O&P | RCV | AGE/LIFE | COND. | DEP % | DEPREC. | ACV |
|---|---|---|---|---|---|---|---|---|---|---|
| 12. | Roofing felt - 30 lb. | | | | | | | | | |
| | 12.39 SQ | 49.83 | 11.91 | 125.86 | 755.16 | 27/20 yrs | Avg. | 75% [M] | (566.37) | 188.79 |
| 13. | R&R Ridge cap - wood shake shingles | | | | | | | | | |
| | 401.00 LF | 18.86 | 201.87 | 1,552.96 | 9,317.69 | 27/40 yrs | Avg. | 67.5% | (6,289.45) | 3,028.24 |
| 14. | Wood shakes - medium (1/2") hand split - fire resistant | | | | | | | | | |
| | 49.71 SQ | 1,200.98 | 2,875.46 | 12,515.24 | 75,091.42 | 27/40 yrs | Avg. | 67.5% | (50,686.71) | 24,404.71 |
| 15. | Flashing - pipe jack - 6" | | | | | | | | | |
| | 6.00 EA | 76.86 | 13.66 | 94.98 | 569.80 | 27/35 yrs | Avg. | 75% [M] | (427.36) | 142.44 |
| 16. | R&R Power attic vent cover only - metal | | | | | | | | | |
| | 2.00 EA | 133.70 | 4.57 | 54.40 | 326.37 | 27/7 yrs | Avg. | 75% [M] | (244.78) | 81.59 |
| 17. | Roof vent - turtle type - Metal | | | | | | | | | |
| | 6.00 EA | 78.33 | 7.30 | 95.46 | 572.74 | 27/35 yrs | Avg. | 75% [M] | (429.57) | 143.17 |
| 18. | Roof vent - turtle type - Detach & reset | | | | | | | | | |
| | 1.00 EA | 83.05 | 0.05 | 16.64 | 99.74 | 0/NA | Avg. | 0% | (0.00) | 99.74 |
| 19. | R&R Furnace vent - rain cap only, 8" | | | | | | | | | |
| | 1.00 EA | 52.95 | 2.05 | 11.00 | 66.00 | 27/25 yrs | Avg. | 75% [M] | (49.50) | 16.50 |
| 20. | R&R Gutter guard/screen - High grade | | | | | | | | | |
| | 387.00 LF | 19.73 | 96.10 | 1,546.32 | 9,277.93 | 27/20 yrs | Avg. | 75% [M] | (6,958.44) | 2,319.49 |
| 21. | R&R downspout - aluminum - up to 5"* | | | | | | | | | |
| | 36.00 LF | 11.52 | 12.49 | 85.44 | 512.65 | 27/25 yrs | Avg. | 75% [M] | (384.49) | 128.16 |
| 22. | Remove Additional charge for steep roof - 10/12 - 12/12 slope | | | | | | | | | |
| | 36.74 SQ | 29.55 | 0.00 | 217.14 | 1,302.81 | 27/NA | Avg. | 0% | (0.00) | 1,302.81 |
| 23. | Additional charge for steep roof - 10/12 - 12/12 slope | | | | | | | | | |
| | 36.74 SQ | 102.60 | 0.00 | 753.90 | 4,523.42 | 27/NA | Avg. | 0% | (0.00) | 4,523.42 |
| 24. | R&R Exterior door - metal - insulated - flush or panel style | | | | | | | | | |
| | 1.00 EA | 368.84 | 18.29 | 77.42 | 464.55 | 27/100 yrs | Avg. | 27% | (125.42) | 339.13 |
| 25. | Door lockset - exterior - Standard grade | | | | | | | | | |
| | 1.00 EA | 41.23 | 1.24 | 8.48 | 50.95 | 27/20 yrs | Avg. | 75% [M] | (38.21) | 12.74 |
| 26. | R&R Drip edge | | | | | | | | | |
| | 92.36 LF | 3.79 | 7.09 | 71.44 | 428.57 | 0/35 yrs | Avg. | 0% | (0.00) | 428.57 |
| 27. | R&R Exhaust cap - through roof - up to 4" | | | | | | | | | |
| | 2.00 EA | 111.70 | 3.76 | 45.44 | 272.60 | 0/35 yrs | Avg. | 0% | (0.00) | 272.60 |
| 28. | Doors (Bid Item) | | | | | | | | | |
| | 1.00 EA | 4,400.00 | 0.00 | 880.00 | 5,280.00 | 0/NA | Avg. | 0% | (0.00) | 5,280.00 |
| **Totals: R1** | | | **3,338.15** | **20,013.38** | **120,079.87** | | | | **73,859.24** | **46,220.63** |
| **Total: Source - Eagle View** | | | **3,468.27** | **20,715.48** | **124,292.36** | | | | **76,122.55** | **48,169.81** |

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| | | | | | | |
|---|---|---|---|---|---|---|
| **Total: Source - Eagle View** | **3,468.27** | **20,715.48** | **124,292.36** | | **76,122.55** | **48,169.81** |

**Labor Minimums Applied**

| | QUANTITY | UNIT | TAX | O&P | RCV | AGE/LIFE | COND. | DEP % | DEPREC. | ACV |
|---|---|---|---|---|---|---|---|---|---|---|
| 29. Door labor minimum* | | | | | | | | | | |
| | 1.00 | EA | 78.74 | 0.00 | 15.74 | 94.48 | 0/NA | Avg. | 0% | (0.00) | 94.48 |
| 30. Finish hardware labor minimum* | | | | | | | | | | |
| | 1.00 | EA | 153.11 | 0.00 | 30.62 | 183.73 | 0/NA | Avg. | 0% | (0.00) | 183.73 |
| 31. Heat, vent, & air cond. labor minimum* | | | | | | | | | | |
| | 1.00 | EA | 301.44 | 0.00 | 60.28 | 361.72 | 0/NA | Avg. | 0% | (0.00) | 361.72 |
| 32. Window treatment repair* | | | | | | | | | | |
| | 1.00 | EA | 93.12 | 0.00 | 18.62 | 111.74 | 0/NA | Avg. | 0% | (0.00) | 111.74 |
| **Totals: Labor Minimums Applied** | | | **0.00** | **125.26** | **751.67** | | | | **0.00** | **751.67** |
| **Line Item Totals: YIBIAO_LU2** | | | **3,468.27** | **20,840.74** | **125,044.03** | | | | **76,122.55** | **48,921.48** |

[%] - Indicates that depreciate by percent was used for this item
[M] - Indicates that the depreciation percentage was limited by the maximum allowable depreciation for this item

## Grand Total Areas:

| | | | | | |
|---|---|---|---|---|---|
| 0.00 | SF Walls | 0.00 | SF Ceiling | 0.00 | SF Walls and Ceiling |
| 0.00 | SF Floor | 0.00 | SY Flooring | 0.00 | LF Floor Perimeter |
| 0.00 | SF Long Wall | 0.00 | SF Short Wall | 0.00 | LF Ceil. Perimeter |
| 0.00 | Floor Area | 0.00 | Total Area | 0.00 | Interior Wall Area |
| 4,737.78 | Exterior Wall Area | 0.00 | Exterior Perimeter of Walls | | |
| 4,322.71 | Surface Area | 43.23 | Number of Squares | 476.11 | Total Perimeter Length |
| 60.71 | Total Ridge Length | 338.10 | Total Hip Length | | |

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## Summary for Dwelling (with General Contractor)

| | | |
|---|---|---|
| Line Item Total | | 100,735.02 |
| Matl Sales Tax Reimb | | 3,468.27 |
| **Replacement Cost (excluding Overhead and Profit)** | | **$104,203.29** |
| Less Depreciation | | (63,435.41) |
| **Actual Cash Value (excluding Overhead and Profit)** | | **$40,767.88** |
| Less Deductible | | (13,020.00) |
| Less Prior Payment(s) | | (15,683.94) |
| **Net Claim Remaining (amount payable now)** | | **$12,063.94** |
| **Recoverable Amounts** | | |
| Recoverable Depreciation (excluding Overhead and Profit) | | 63,435.41 |
| Overhead - Actual Cash Value - Payable when Incurred | | 4,076.80 |
| Depreciation on Overhead | | 6,343.57 |
| Profit - Actual Cash Value - Payable when Incurred | | 4,076.80 |
| Depreciation on Profit | | 6,343.57 |
| Recoverable Amount Before Applying Limits | 84,276.15 | |
| Total Available Recoverable Amount | | 84,276.15 |
| **Net Claim Remaining if Depreciation is Recovered and Overhead and Profit are Incurred** | | **$96,340.09** |
| **Non-Recoverable Amounts if Recoverable Depreciation and Overhead and Profit are Released** | | |
| Less Amount Over Limit(s) | | (0.00) |

Allen Banning
Claims Representative

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## Summary for Dwelling (without General Contractor)

| | |
|---|---|
| Line Item Total | 100,735.02 |
| Matl Sales Tax Reimb | 3,468.27 |
| **Replacement Cost Value** | **$104,203.29** |
| Less Depreciation | (63,435.41) |
| **Actual Cash Value** | **$40,767.88** |
| Less Deductible | (13,020.00) |
| Less Prior Payment(s) | (15,683.94) |
| **Net Claim Remaining (amount payable now)** | **$12,063.94** |

**Recoverable Amounts**

| | | |
|---|---|---|
| Recoverable Amount Before Applying Limits | 63,435.41 | |
| Total Available Recoverable Amount | | 63,435.41 |
| **Net Claim Remaining if Depreciation is Recovered** | | **$75,499.35** |

**Non-Recoverable Amounts if Recoverable Depreciation is Released**

| | |
|---|---|
| Less Amount Over Limit(s) | (0.00) |

Allen Banning
Claims Representative

Although we remain available to discuss this matter with you, pursuant to MN Insurance Regulation 72A.201 we are required to advise you that if some or all of your claim has been denied you have the right to file a complaint with the Minnesota Department of Commerce.

Minnesota Department of Commerce
85 7th Place East, Suite 500
St. Paul, MN 55101
Toll Free Number 800-657-3602

As required by Minnesota consumer protection law 325E.66, please be advised that a residential contractor providing home repair or improvement services to be paid by an insured from the proceeds of a property or casualty insurance policy shall not, as an inducement to the sale or provision of goods or services to an insured, advertise or promise to pay, directly or indirectly, all or part of any applicable insurance deductible or offer to compensate an insured for providing any service to the insured. If a residential contractor violates this section, the insurer to whom the insured tendered the claim shall not be obligated to consider the estimate prepared by the residential contractor. The residential contractor must provide a written notification of the

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requirements of this section with its initial estimate.